

1. Establishment

The Secretary, as the Accountable Authority for the Department of Agriculture, Fisheries and Forestry (the department), has established the Audit and Risk Committee (the Committee) in compliance with Subsection 45(1) of the Public Governance, Performance and Accountability Act 2013 (the Act).

2. Authority

The Secretary authorises the Committee, within the scope of its role and responsibilities, to:

- obtain information from any official, employee or external party (subject to legal obligation to protect the information)
- discuss any matters directly with internal or external auditors or scrutineers (subject to confidentiality provisions)
- request the attendance of any official or employee, including the Accountable Authority or an external party, at meetings
- provide reports or advice directly to the Accountable Authority, governance committees and senior executives of the department, and
- obtain independent legal or other professional advice to meet its responsibilities, if necessary, at the department's expense and approved by the Accountable Authority or delegate.

Accountable Authority Instruction (AAI) 1.7 instructs all staff to cooperate with the Committee. The Committee is independent and not subject to the department's management direction.

3. Role

The Committee's role is to provide independent advice to the Secretary and the departmental executive on the department's financial reporting, performance reporting, system of risk oversight and management, and system of internal control.

The committee is not responsible for the executive management of these functions. The committee will engage with management in a constructive and professional manner in discharging its responsibilities and formulating its advice.

4. Functions

This Charter sets out the functions of the Committee in compliance with Subsection 45(2) of the Act as well as Subsections 17(1) and 17(2) of the Public Governance, Performance and Accountability Rule 2014 (the Rule). These functions include (but are not limited to) reviewing and providing independent advice to the Secretary on the appropriateness of the departments:

- financial reporting
- performance reporting

- system of risk oversight and management, and
- system of internal control.

a. Financial Reporting

The Committee will review and provide advice on the appropriateness of the departments:

- annual financial statements and supplementary reporting materials
- processes and systems for preparing financial reporting information, and
- processes and systems for ensuring compliance with financial reporting requirements.

This includes the Committee reviewing compliance with the requirements of the Act, the PGPA Rule, accounting standards and any relevant guidance issued by the Department of Finance.

The Committee will provide written advice to the Secretary setting out its views on the appropriateness of the department's financial reporting systems and processes as a whole, including any specific areas of concern and any suggestions for improvement.

b. Performance Reporting

The Committee will review and provide advice on the appropriateness of the departments:

- performance information included in the department's Portfolio Budget Statements, Corporate Plan and Annual Performance Statements
- processes and systems for preparing performance reporting information, and
- processes and systems for ensuring compliance with performance reporting requirements.

This includes the Committee reviewing the departments compliance with mandatory requirements of the Act, the PGPA Rule, the Commonwealth's Performance Framework and any other relevant guidance issued by the Department of Finance.

The Committee will provide advice to the Secretary setting out its views on the:

- compliance with the Finance Secretary's Direction for performance information included in the department's Portfolio Budget Statements
- performance information included in the department's Corporate Plan
- compliance of the Annual Performance Statements with relevant requirements, and
- the appropriateness of the department's performance reporting systems and processes as a whole, including any specific areas of concern and any suggestions for improvement.

c. System of Risk Oversight and Management

The Committee will review and provide advice on the appropriateness of the departments:

- risk management framework, including its approach to risk management and oversight, and associated internal controls
- processes and systems for management of risk, and

- processes and systems ensuring compliance with requirements including the Commonwealth's Risk Management Framework and Commonwealth Fraud and Corruption Control Framework.

The Committee will provide advice to the Secretary setting out its views on the:

- compliance of the department's risk management with relevant requirements
- appropriateness of the department's risk management systems and processes as a whole, including any specific areas of concern and any suggestions for improvement.

d. System of Internal Control

Systems of internal control include all frameworks, policies, systems, approaches and other governance arrangements that support or give effect to managing the department. This includes the Committee considering the department's operating context, governance arrangements, and effectiveness of the internal control framework.

The Committee will review and provide advice on the appropriateness of the departments:

- approach to management of internal controls
- processes and systems for the design and operation of the internal control framework
- processes and systems for ensuring compliance with legislative, policy and operational requirements, and
- implementation of recommendations arising from Parliamentary inquiries, internal audit reports, recommendations made by the department's Inspectors-General and ANAO reports relevant to the department.

The Committee will provide advice to the Secretary setting out its views on the:

- appropriateness of the department's systems of internal control as a whole, including any specific areas of concern and any suggestions for improvement.

5. Internal Audit Function

The internal audit function is an important resource for the Committee to perform its functions, including as an independent source of advice to the Secretary and the department's leadership. The Committee has the following responsibilities as it relates to the internal audit function:

- review the internal Audit Work Program, providing advice to the Secretary regarding its approval, including considering its risk focus and that it covers any areas warranting audit attention
- oversee the implementation of the Internal Audit Work Program
- ensure significant findings and recommendations made by internal audit are received and discussed, and agreed actions are implemented in a timely manner, and
- assess the adequacy, independence and effectiveness of the Internal Audit function.

6. Membership

For any membership matter not explicitly addressed in this Charter, the Secretary is the decision maker. In appointing members to the Committee, the Secretary will have regard to:

- the department's governance framework and assurance mechanisms
- the appropriateness of their qualifications, knowledge, skills or experience to assist the Committee to perform its functions
- the key risks to the entity, including risks relating to program delivery and implementation, and
- balancing the rotation of members against the time it takes to develop knowledge of the entity and develop productive relationships with the entity's officials and other Committee members and preserving an appropriate level of knowledge and experience on the Committee.

a. Appointment

The Committee will comprise at least 3 independent members, where independent is defined by the Department of Finance. Collectively, the Committee should have expertise relevant to all matters it considers.

Members are appointed by the Secretary for a term determined by the Secretary. The Secretary appoints an independent member as Chair. In consultation with members, the Chair may appoint a Deputy Chair.

b. Resignation or cessation of appointment

The Secretary may cease appointments at any time, subject to legal requirements. Members may also resign at any time by written notice to the Secretary. The Chair and Chief Audit Executive (CAE) should also be advised. The resignation will take effect according to the date specified in the notice.

c. Conduct of the Committee

The Committee is responsible to the Secretary for the performance of its functions. It has no executive powers in relation to the operations of the department. The Committee may only review the appropriateness of particular aspects of department operations consistent with its functions and advise the Secretary accordingly.

Consistent with maintaining the Committee's independence, Members will

- act in the best interests of the Secretary and department
- have regard to relevant requirements, standards and recognised best practice, and
- engage with management in a timely, constructive and professional manner.

d. Conflicts of Interest

Assessments of possible conflicts of interest will be undertaken with reference to the department's Conflict of Interest Policy. Members will declare any conflict of interest (actual, potential or perceived) at each meeting and will complete an annual written conflict of interest declaration. If the Committee determines that a conflict exists, advice will be provided to the Secretary by the Committee on the conflict and proposed mitigation strategies.

7. Subcommittees

Subcommittees may be established by the Committee in consultation with the Secretary to assist the Committee in meeting its responsibilities. The responsibilities, membership and reporting arrangements for each subcommittee will be documented and approved by the Committee.

8. Reporting

The Chair will report to the Secretary after each meeting. The Committee may report as often as necessary to the Secretary and the department's governance committees on its view on the appropriateness of the functions it reviews.

The Committee will report annually to the Secretary. The annual report will include the Committee's operation and activities including that all functions outlined in this Charter have been satisfactorily addressed.

9. Administrative Arrangements

a. Meetings and Out-of-Session Decisions

The Committee will meet at least 4 times a year. The Committee may hold special meetings (including joint meetings with subcommittees) for specific purposes, such as to review annual financial statements and annual performance statements.

The Chair will call a meeting if asked to do so by the Secretary and decide if a meeting is required if requested by another member, the Chief Audit Executive or the Australian National Audit Office (ANAO). Out-of-session decisions may also be undertaken for matters that do not require face-to-face discussions.

b. Quorum

A quorum is at least 2 independent members. The quorum must be in place at all times during the meeting.

c. Attendance

The Secretary, Chief Operating Officer, Chief Financial Officer, General Counsel, Chief Risk Officer, Chief Audit Executive, Chief People Officer, Chief Information Officer and Senior Executive Officers (or their equivalent) may attend meetings as observers or advisers, as determined by the Committee. Representatives of the ANAO may attend as observers.

d. Planning

The Committee will contribute to, and approve, an annual work plan and meeting schedule that includes the date, location, and proposed agenda items for each meeting for the forthcoming year and covers all the functions outlined in this Charter.

e. Assessing Performance

The Committee's performance will be reviewed at least every two years. The review, conducted on a self-assessment basis, will seek input from Committee members, advisors and observers, senior management and any other relevant stakeholders.

f. Secretariat Support

Secretariat support is provided by the Secretariat team within the Internal Audit and Inspectors-General Section. Secretariat support includes

- drafting and maintenance of Committee governance documents
- drafting and maintenance of Committee planning and administrative documents
- logistics coordination for delivery of meetings, and
- other functions agreed by the Chief Audit Executive.

g. Review of the Charter

The Committee will review this Charter at least once every 2 years. Any substantive changes will be recommended by the Committee and submitted to the Secretary for consideration and approval.

Justine Saunders APM

A/g Secretary, Department of Agriculture, Fisheries and Forestry

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Source: <https://www.agriculture.gov.au/about/reporting/risk-and-audit-committee-charter>